UNITED STATES BANKRUPTCY COURT
EASTERN DISTRICT OF ARKANSAS
LITTLE ROCK DIVISION

IN RE: *EXAMPLE DEBTOR, LLC* Debtor. *JANE EXAMPLE, Chapter 7 Trustee* Plaintiff, v. *SAMPLE CREDITOR BANK* Defendant.	Case No. 4:26-bk-00000 Chapter 7 Adv. Proc. No. 4:26-ap-0000

Complaint to Determine Dischargeability of Debt and for Turnover of Property of the Estate

Plaintiff Jane Example, Chapter 7 trustee of the bankruptcy estate of the Debtor, states as follows for her complaint against Defendant Sample Creditor Bank.

JURISDICTION AND VENUE

1. This adversary proceeding arises under title 11 and arises in the Chapter 7 case of EXAMPLE DEBTOR, LLC, Case No. 4:26-bk-00000, pending in this Court in the Little Rock Division of the Eastern District of Arkansas.

2. This Court has jurisdiction under 28 U.S.C. §§ 1334 and 157(a), and under the order of reference of the United States District Court for the Eastern District of Arkansas.

3. This is a core proceeding under 28 U.S.C. § 157(b)(2)(I) and (O). Plaintiff consents to the entry of final orders and judgment by the bankruptcy judge.

4. Venue is proper in this District under 28 U.S.C. § 1409(a) because the main bankruptcy case is pending here.

5. The claims in this complaint are brought under 11 U.S.C. §§ 362(k), 523(a)(2)(A), 541, and 542, and Federal Rules of Bankruptcy Procedure 7001(a) and (f).

PARTIES

6. Plaintiff is the duly appointed and acting Chapter 7 trustee of the bankruptcy estate of EXAMPLE DEBTOR, LLC (the "Debtor"). She brings this action under 11 U.S.C. § 323 in that capacity.

7. The Debtor filed a voluntary petition under chapter 7 of the Bankruptcy Code on June 1, 2026 (the "Petition Date"). Its principal place of business was in Pulaski County, Arkansas.

8. Defendant Sample Creditor Bank (the "Bank") is a financial institution that may be served through its registered agent at the address stated in the summons.

FACTS

The Loan Application

9. On March 3, 2026, the Debtor submitted a written application to the Bank for a commercial revolving line of credit in the amount of $250,000.00 (the "Loan").

10. The application was signed by Richard Sample, the Debtor's sole managing member, and was delivered to the Bank's loan officer by electronic mail.

11. In the application, the Debtor represented that it had no pending judgments against it, that it had no unpaid tax liabilities more than sixty days past due, and that its trade payables were current in all material respects.

12. The application also stated that the Debtor's year-to-date revenue was $1,840,000.00, and attached a balance sheet that listed trade payables of $212,000.00.

13. Each of the representations described in paragraphs 11 and 12 was false when made. The Debtor had at that time two unsatisfied money judgments entered in the Circuit Court of Pulaski County, Arkansas, in favor of its equipment vendors, with a combined face amount exceeding $90,000.00.

14. The Debtor's trade payables were not current on March 3, 2026. The Debtor's own accounts payable ledger, which it later produced to the Trustee, shows invoices more than ninety days past due in an aggregate amount of $141,600.00.

The Bank's Advance

15. The Bank approved the application on March 12, 2026, and relied on the representations described in paragraphs 11 through 14 in doing so.

16. On March 17, 2026, the Bank advanced $180,000.00 to the Debtor under the Loan (the "Advance").

17. The Bank's credit file for the Loan contains no independent search of the Pulaski County judgment docket, and the Bank did not obtain the Debtor's accounts payable ledger before the Advance.

18. Before the Advance, the Bank's loan officer had a telephone conversation with Mr. Sample in which he confirmed that the Debtor had no judgments against it.

The Debtor's Default and Bankruptcy

19. The Debtor made no payment on the Loan after April 2026. The Bank declared a default on May 20, 2026.

20. Between March 17, 2026, and the Petition Date, the Debtor transferred $47,300.00 from its operating account to its equipment vendors on account of the judgments described in paragraph 13.

21. The Debtor filed its petition on June 1, 2026. Its schedules listed the Bank as a secured creditor on the Loan and disclosed the judgments in the Statement of Financial Affairs.

22. Plaintiff was appointed trustee on the Petition Date and has administered the estate since then.

23. The Bank filed a proof of claim on the Loan on July 9, 2026, in the amount of $183,400.00, which includes the Advance and accrued interest, fees and costs.

The Deposit Account

24. On the Petition Date, the Bank held a deposit account in the Debtor's name with a balance of $12,500.00 (the "Deposit Account").

25. The Bank exercised a setoff against the Deposit Account after the Petition Date, without relief from the automatic stay under 11 U.S.C. § 362(a) and without an order of this Court.

26. The funds in the Deposit Account were property of the Debtor on the Petition Date and are property of the estate under 11 U.S.C. § 541(a).

Demand

27. On August 4, 2026, Plaintiff sent the Bank a written demand for the Deposit Account funds and for a statement of the basis for the setoff. The Bank did not respond within fourteen days.

CLAIMS FOR RELIEF

Count I: Nondischargeability under 11 U.S.C. § 523(a)(2)(A)

28. Plaintiff incorporates paragraphs 1 through 27 as if fully restated.

29. The Debtor obtained the Advance by false pretenses, a false representation, or actual fraud, through the written representations described in paragraphs 11 and 12, which were made with knowledge of their falsity or with reckless disregard of the truth.

30. The Bank justifiably relied on those representations in approving and funding the Advance, and it suffered loss in the amount of the Advance.

31. The Debtor's obligation to the Bank on the Loan is therefore excepted from discharge under 11 U.S.C. § 523(a)(2)(A). Plaintiff, for the estate, requests a judgment determining that debt nondischargeable.

Count II: Turnover under 11 U.S.C. § 542(a)

32. Plaintiff incorporates paragraphs 1 through 31 as if fully restated.

33. The Deposit Account funds are property of the estate that the Bank holds and may not retain.

34. Plaintiff demands turnover of the $12,500.00 balance of the Deposit Account, together with any interest accrued after the Petition Date, under 11 U.S.C. § 542(a).

Count III: Violation of the Automatic Stay under 11 U.S.C. § 362(k)

35. Plaintiff incorporates paragraphs 1 through 34 as if fully restated.

36. The setoff described in paragraph 25 was an act to collect a prepetition claim from property of the estate in violation of 11 U.S.C. § 362(a)(3) and (a)(7).

37. Plaintiff requests that the Court determine that the setoff violated the automatic stay, and order the Bank to restore the $12,500.00 to the estate under 11 U.S.C. § 362(k).

PRAYER FOR RELIEF

WHEREFORE, Plaintiff respectfully requests that the Court enter judgment:

38. Determining that the Debtor's obligation to the Bank on the Loan, including the Advance, is excepted from discharge under 11 U.S.C. § 523(a)(2)(A);

39. Ordering the Bank to turn over the $12,500.00 Deposit Account balance, with post-petition interest, to Plaintiff under 11 U.S.C. § 542(a);

40. Determining that the setoff of the Deposit Account was a violation of the automatic stay and that the funds be restored to the estate under 11 U.S.C. § 362(k);

41. Awarding Plaintiff her costs of this action and such attorney's fees as are allowed by law; and

42. Granting such other relief as the Court finds just and proper.

Dated: October 14, 2026

Respectfully submitted,
s/ COUNSEL EXAMPLE
Attorney for Plaintiff

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